CANADA BREAD COMPANY, LIMITED





INTERIM REPORT TO SHAREHOLDERS

For the First Quarter Ended
March 31, 2000

CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

The first quarter represented further improvements over the prior year following improvements recorded in both the third and fourth quarters of last year. We are encouraged by the results of the last three quarters which are directly attributable to the company wide turnaround plan that was implemented early in 1999.

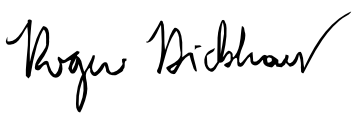
Sales for the quarter were $130.8 million compared to $138.9 million last year. On an equal number of weeks basis, sales increased by 1.4% over last year.

Operating earnings of $4.7 million for the quarter compared to $3.3 million last year, an increase of 40%. The earnings growth is attributable to improvements in manufacturing and distribution costs and streamlining administrative overheads.

Net earnings of $2.3 million ($0.11 per share) compared to net earnings last year of $1.8 million ($0.09 per share). The increase is due to the increased operating earnings partially offset by lower contributions in the Company's share of earnings from its equity investment in Multi-Marques.

The Company is continuing vigorously with its turnaround plan to improve results and expects earnings to continue.

For the Board of Directors,





Roger M. Dickhout
President and Chief Executive Officer

Richard A. Lan
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts (Unaudited)	Quarter Ended March 31, 2000	1999
Sales	**$130,753**	$138,903
Earnings from operations	**4,654**	3,320
Other income	**33**	226
Earnings before interest and taxes	**4,687**	3,546
Interest expense	**587**	600
Earnings before income taxes	**4,100**	2,946
Income taxes	**1,805**	1,115
Net earnings for the period	**$2,295**	$1,831
Earnings per share	**$0.11**	$0.09
Dividends per share declared	**$0.06**	$0.06
Weighted average number of shares (millions)	**21.4**	21.4

CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars, (Unaudited)	Quarter Ended March 31, 2000	1999
CASH PROVIDED BY (USED IN):		
OPERATING ACTIVITIES		
Net earnings for the period	**$2,295**	$1,831
Add (deduct) items not affecting cash:		
Depreciation	**4,247**	4,425
Amortization	**761**	789
Deferred income taxes	**-**	(1,473)
Undistributed earnings of an associated company	**-**	(226)
Changes in non-cash operating working capital	**(17,357)**	(7,810)
	(10,054)	(2,464)
FINANCING ACTIVITIES		
Dividends paid	**(1,285)**	(1,285)
Increase in long-term debt, net	**9,277**	5,360
	7,992	4,075
INVESTING ACTIVITIES		
Additions to property and equipment	**(698)**	(3,329)
	(698)	(3,329)
Net decrease in cash for the period	**(2,760)**	(1,718)
Bank indebtedness, beginning of period	**(1,436)**	(2,121)
Bank indebtedness, end of period	**$(4,196)**	$(3,839)

CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars (Unaudited)	As at March 31, 2000	1999 Restated
ASSETS		
Current assets:		
Accounts receivable	**$21,265**	$35,931
Due from related company	**4,669**	5,501
Inventories	**15,067**	14,299
Future tax asset	**3,772**	-
Prepaid expenses	**1,217**	4,410
	45,990	60,141
Investment in associated company	**46,128**	45,994
Property and equipment	**162,760**	159,746
Goodwill	**76,729**	79,776
	$331,607	$345,657
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness	**$4,196**	$3,839
Accounts payable and accrued charges	**42,525**	54,781
Dividends payable	**1,285**	1,285
Income and other taxes payable	**45**	607
Current portion of long-term debt	**106**	76
	48,157	60,588
Long-term debt	**23,239**	32,234
Future tax liability	**35,896**	-
Deferred income taxes	**-**	22,291
Shareholders' equity	**224,315**	230,544
	$331,607	$345,657

NOTES TO INTERIM FINANCIAL REPORTING

New accounting guidelines issued in Canada require the liability approach to be adopted to account for income taxes. The Company has adopted the new income tax accounting standard retroactively, effective January 1, 2000, without restating the financial statements of any prior periods as permitted under the standard. Application of the recommendation would not have materially affected net earnings or net earnings per share as previously reported for 1999. In total, the adoption of the standard results in a cumulative reduction to retained earnings at January 1, 2000 of $7,819,000.

The Company has adopted the new accounting guidelines for pension benefits prospectively from January 1, 2000. This application of the recommendation does not materially affect net earnings or net earnings per share as at and for the three months ended March 31, 2000.

In 1999, the Company elected to retroactively change the method used to account for post-retirement benefits other than pensions, and accordingly restated opening shareholders' equity. The impact of these changes is described in Note 14 to the Company's 1999 Annual Financial Statements.